

Audits of Less Complex Entities: ISA for LCE

Presented by

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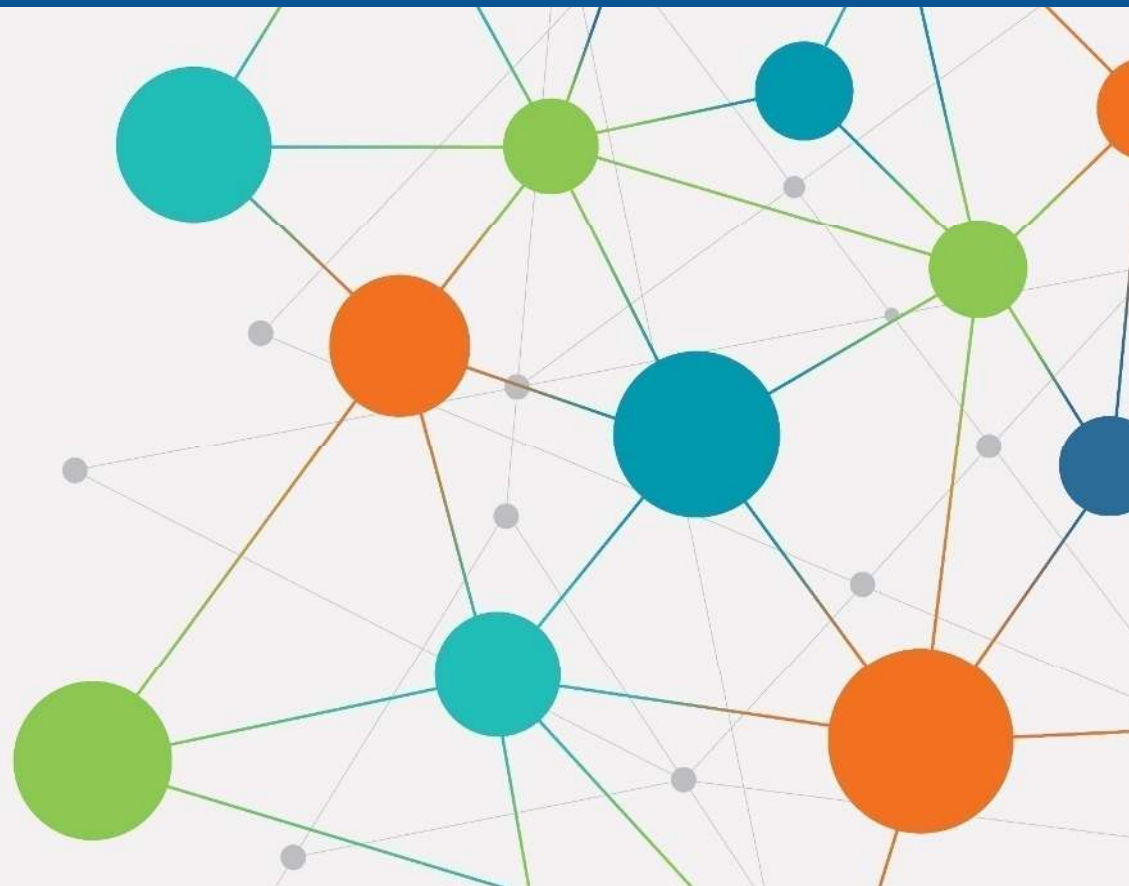
Jasper van den Hout, IAASB Director

Amy Fairchild, IAASB Principal

IAASB Meeting

March 23, 2023

Agenda Item 6



Task Force & Staff Activities

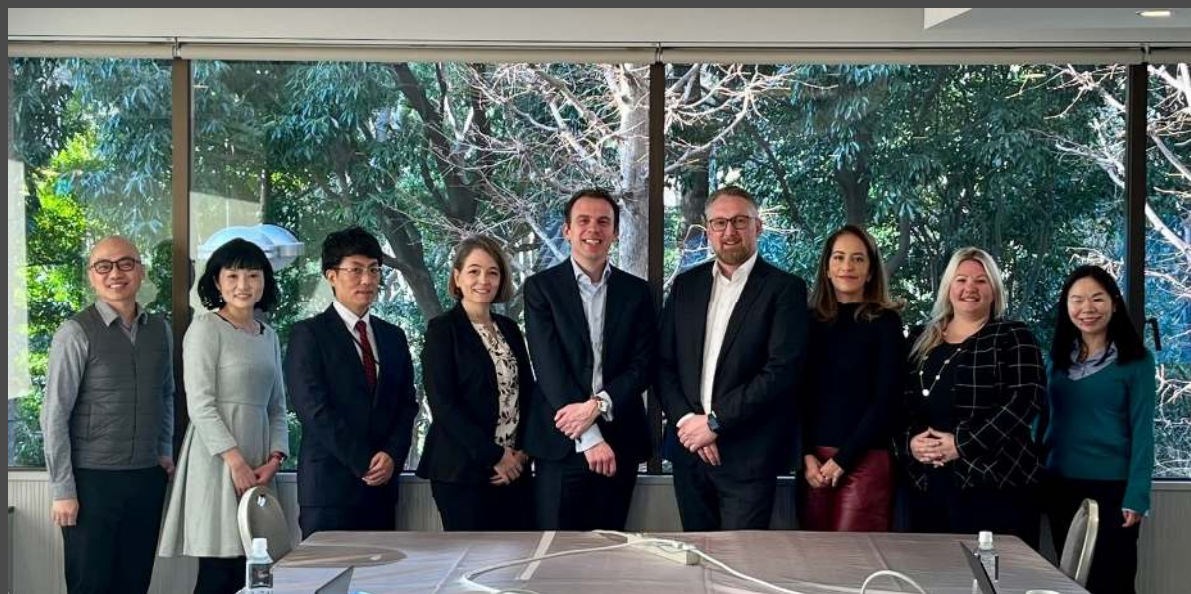
Release of Exposure Draft
(Proposed Part 10)

Task Force Meetings

LCE Reference Group

CAG Meeting

IFAC SMPAG



Overarching Principles to Proposed Revisions

- Targeted areas identified by respondents:
 - *Relevance*
 - *Proportionate*
 - *Outcome*
 - *Essential Explanatory Material (EEM)*



Part 2, *Audit Evidence & Documentation*

Feedback: Documentation of an audit performed under ED would not be proportionate to an audit of an LCE



Proposed revisions

- Revisions of requirements throughout proposed standard for proportionality and granularity
- Additional EEM to address application of general documentation principles
- Revisions to specific documentation requirements for duplication, location and relevance

Matters for IAASB Consideration

Part 2 and Specific Documentation Requirements

1. The Board is asked for their views on
 - (a) The Task Forces proposed approach to addressing respondents' comments relating to documentation
 - (b) The proposed changes to Part 2 and specific documentation requirements in other parts, as presented in **Agenda Item 6-B**

Part 3, *Engagement Quality Management*

Feedback: Requirements could be more proportional for audits of LCEs, including engagements carried out by only one person



Proposed revisions

- Structure: separate requirements when there is more than one member of engagement team
- Deletion of repetitive requirements and EEM
- Other revisions and simplification of structure

Matters for IAASB Consideration

Part 3

2. The Board is asked for their views on proposed revisions to Part 3 as presented in **Agenda Item 6-B**

Part 4, *Client Acceptance/Continuance, Initial Audit Engagements*

Feedback: General support with requests for more EEM and comments on the content of engagement letter or other written agreement



Proposed revisions

- Removal of requirement for the engagement letter or written agreement to specify that audit is being undertaken using the ISA for LCE
- Additional EEM, including for initial audit engagements

Matters for IAASB Consideration

Part 4

3. The Board is asked for their views on the changes made to Part 4 as presented in **Agenda Item 6-B**

Part 5, *Planning*

Feedback: General support with requests for more EEM and suggestions for relocation of some requirements



Proposed revisions

- Additional EEM, including for using the work of management's expert and materiality
- Documentation requirement for calculation of value under which misstatements would be clearly trivial
- Going concern requirements relocated to Part 6

Matters for IAASB Consideration

Part 5

4. The Board is asked for their views on the changes made to Part 5 as presented in **Agenda Item 6-B**

Part 6 – Risk Identification & Assessment

Consideration of Board comments received during December 2022 meeting



Proposed revisions

- Presumption of fraud risk relating to revenue recognition
- Work effort in 6.3.12A – “evaluate”
Clarified requirement for understanding entity’s process to prepare financial statements (6.3.9)
- Clarified requirements for understanding of services provided by a service organization
- Combined determining RAs and SCOTABDs into 6.4.1

Matters for IAASB Consideration

Part 6

5. The Board is asked for their views on the changes made to Part 6 as presented in **Agenda Item 6-B**

Accounting Estimates: Previous Discussions

Feedback (Authority): Allow the use of the ISA for LCE when entity has small number of “more complex” accounting estimates



September Discussion

- Revision of qualitative characteristic in Authority
- Further guidance in Supplemental Guide
- Action to review requirements given changes to Authority

Accounting Estimates: Proposed Revisions to Content

Feedback: Reduce the complexity of the requirements (based on Authority per ED). Other suggested revisions to specific requirements/EEM.



Proposed revisions

- Reviewed ISA 540 (Revised) to identify areas where further requirements and EEM are needed given changes to Authority
- Aligned structure with ISA 540 to be clearer on testing approaches
- Requirement for disclosures relating to an accounting estimate
- Enhanced EEM to support requirements

Matters for IAASB Consideration

Accounting Estimates

6. The Board is asked for their views on proposed revisions to Part 7 relating to accounting estimates as presented in **Agenda Item 6-B**

ISA-800 Series

Feedback: Support for inclusion of the ISA 800-series' requirements. Mixed views on timing and suggestions for further outreach to determines the use of ISA 800 series by LCEs

Task Force recommendation

- Further outreach after approval of ISA for LCE to determine use of ISA 800-Series by LCEs particularly given revision to Authority after ED
- Do not develop separate part for ISA 800-series at this time
- Address how ISA for LCE and ISA-800 series may interact



Matters for IAASB Consideration

ISA 800-Series

6. The Board is asked if they agree with the Task Force's recommendations on the way forward with respect to the ISA 800-series, including not to develop a part containing requirements for the ISA 800-series at this time

Way Forward



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